

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-19

PELOTON INTERACTIVE, INC.,

COMPLAINANT,

v.

FLEXPORT INTERNATIONAL LLC,

RESPONDENT.

COMPLAINANT PELOTON INTERACTIVE, INC.'S OPPOSITION TO
RESPONDENT FLEXPORT INTERNATIONAL LLC'S
MOTION TO DISMISS THE COMPLAINT AND FOR SANCTIONS

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Complainant Peloton Interactive, Inc. (“Peloton”), by its undersigned attorneys, respectfully submits this memorandum of law in opposition to the April 25, 2025 Motion to Dismiss and for Sanctions (Dkt. No 54, “Third Motion to Dismiss”) of Respondent Flexport International LLC (“Flexport”).

I. PRELIMINARY STATEMENT

This is Flexport’s *third* attempt to dismiss Peloton’s complaint, following two previous dispositive motions filed by Flexport, both of which were properly denied by the Presiding Officer by Orders dated October 24, 2024 and January 29, 2025. *See* Dkt. Nos. 15, 35. Discovery is set to conclude by May 19, 2025, with merits briefing scheduled to commence next month.¹ Flexport’s filing of this motion to dismiss at this late stage in the proceeding is in violation of the Commission’s Rules against repetitive motions, inconsistent with the Scheduling Order, and disfavored by the Commission, which decides dispositive factual issues in briefing, not during discovery. This alone warrants that the Third Motion to Dismiss is denied.

In addition to being procedurally improper, Flexport’s motion does not articulate any basis in fact or law that would support imposing sanctions against Peloton or Peloton’s counsel, much less the extraordinary sanction of dismissing Peloton’s entire complaint. Flexport does not cite any Commission precedent or a single case where a complaint was dismissed as a discovery sanction or otherwise dismissed. Instead, Flexport spends the majority of its motion mischaracterizing the testimony of Peloton’s witnesses, asserting improper and *ad hominem* personal attacks on Peloton’s deponents and its counsel, and rewriting the discovery exchanges in

¹ On May 8, 2025, Flexport filed a motion to modify the Scheduling Order. Flexport requested an extension of the expert deposition deadline from May 19, 2025 to June 4, 2025, and for Peloton’s initial brief submission deadline from June 16, 2025 to July 16, 2025. *See* Dkt. No. 56. Regardless of whether the extension is granted, Peloton emphasizes that Flexport’s Third Motion to Dismiss has been filed at a late stage in the proceedings, just weeks before the close of discovery.

this case. These hollow allegations are without merit and obviously designed to distract from Flexport's own discovery violations.

Flexport also does not show that Peloton violated any discovery orders. Flexport's continued insistence that Peloton has failed to provide "any information concerning its claims against Flexport" —is contrary to the multiple depositions taken by Flexport (including Peloton's corporate witness) as well as tens of thousands of documents produced by Peloton. Nor does Flexport demonstrate it has suffered any prejudice as a result of Peloton's alleged conduct, the Commission has suffered any prejudice, or any evidence that warrants the extraordinary measure of sanctions.

Indeed, it is Flexport, not Peloton, that is in violation of discovery orders. On the date that Flexport filed this Third Motion to Dismiss, it was required by the March 26 Order to, *inter alia*, "provide the communications between it and contractors such as motor carriers and railroads, as well as marine terminal operators and ocean carriers, regarding the movement of Peloton containers/shipments for which invoices issued beginning in May 2021." Dkt. No. 47 at 1. To date, Peloton still does not have these materials from Flexport.² This continues to prejudice Peloton. Flexport is the party in control of this material and relevant information, as it is

² Between the March 26 Order and today, Flexport produced minimal emails as well as supplemental invoices that were largely duplicative of prior invoices already in Peloton's possession, which is clearly insufficient. In addition to not producing documents, Flexport has not provided information on its method of document collection, the searches it conducted, or its systems for preserving documents in order to explain the absence of critical documents in its productions. For example, since the service contracts were between ZIM Integrated Shipping Services Ltd. ("ZIM") and Flexport, not Peloton, it is inconceivable that there exists only six (6) email communications between it and ZIM, which is all that has been produced to date (Dkt. No. 49). For example, Flexport produced only a single email from ZIM to Junction Collaborative Transports, a drayage carrier with whom Flexport contracted, regarding a request to return empty containers and chassis to the West Basin Container Terminal (WBCT). *See* Exhibit 1 (FLEXPORT 00063469). In another email thread, Flexport looped in a ZIM employee to assist with clearing demurrage on several containers at the WBCT; however, Flexport did not produce any further email communications regarding the clearing of demurrage on these containers. *See* Exhibit 2 (FLEXPORT 00023686).

undisputed that Peloton did not directly contract or work with motor carriers, ocean carriers, railroads, or marine terminal operators regarding the movement of its containers – Flexport did. In addition to violating the March 26 Order, Flexport’s refusal to produce this information, and to instead file this Third Motion to Dismiss, is telling. For these reasons, which are more fully discussed below, Flexport’s Third Motion to Dismiss should be denied.

II. BACKGROUND

A. Flexport Filed This Third Dispositive Motion to Dismiss Peloton’s Claims Shortly Before the End of Discovery and After Two Prior Dispositive Motions That Were Denied By the Presiding Officer.

Flexport’s ongoing efforts to avoid Peloton’s allegations, and to evade their duties and responsibilities as a registered ocean transportation intermediary under the Shipping Act, has most recently manifested in a repetitive Third Motion to Dismiss. On July 9, 2025, Flexport filed its First Motion to Dismiss, which the Presiding Officer denied by an order dated October 24, 2024. *See* Dkt. Nos. 10, 15. A month later, on November 27, 2024, Flexport attempted a second time to dismiss, filing a motion for judgment on the pleadings pursuant to FRCP 12(c) and 46 C.F.R. § 502.69(g) (“Second Motion to Dismiss”).³ *See* Dkt. No. 20. Similar to the arguments advanced again here, in its Second Motion to Dismiss, Flexport argued that (1) Peloton’s complaint contained only conclusory allegations of Shipping Act violations, (2) the complaint lacked adequate factual support in Exhibit A,⁴ and (3) two-thirds of the challenged demurrage and detention invoices were time-barred, an erroneous claim. The Presiding Officer denied Flexport’s

³ As the Presiding Officer noted in its January 29, 2025 Order denying Flexport’s Second Motion to Dismiss, “[m]otions for judgment on the pleadings are brought under Federal Rule of Civil Procedure 12(c), and motions to dismiss for failure to state a claim are brought under Rule 12(b)(6). The standard of review under these motions “is essentially the same.” *See* Dkt. No. 35 (*quoting Ovchinnikov v. Hitrinov*, Docket No. 15-11, 2023 WL 1963462, at *5-6 (FMC Feb. 8, 2023)).

⁴ Exhibit A identifies thousands of invoices and D&D charges assessed by Flexport to Peloton. These charges span over an extended period of time that plainly show that Flexport engaged in unreasonable and unlawful practices under the Shipping Act.

Second Motion to Dismiss in its entirety by an order dated January 29, 2025. *See* Dkt. No. 35 (“Peloton has plausibly alleged a violation, particularly given the unfinished state of discovery, and drawing all reasonable inferences in Peloton’s favor. . . Further, the information necessary to determine whether Flexport’s practices were reasonable or unreasonable may well be entirely in the possession of Flexport, reinforcing the import of discovery and a more fully developed record here in fairness to Peloton.”)

Flexport filed this Third Motion to Dismiss on April 25, 2025—less than a month before the close of discovery and with briefing set to begin in mid-June. *See* Dkt. No. 54. The Scheduling Order entered in this proceeding does not provide for the filing of dispositive motions at this stage of the case (Dkt. No. 39), and Flexport has not sought to amend the Scheduling Order on this basis.

The Third Motion to Dismiss reiterates arguments Flexport raised in its Second Motion to Dismiss, namely that Peloton has failed to provide sufficient information or factual support to substantiate its claims against Flexport. *See* Mot. at 1, 4-5, 22; Dkt. No. 20 at 2-3, 5-6, 11. The Presiding Officer rejected these arguments in its January 29, 2025 Order denying the Second Motion to Dismiss, finding that “the information necessary to determine whether Flexport’s practices were reasonable or unreasonable may well be entirely in the possession of Flexport, reinforcing the import of discovery and a more fully developed record here in fairness to Peloton.” *See* Dkt. No. 35 at 7, 9. Peloton still does not have a complete document production from Flexport.

In order to avoid spending unnecessary time and resources on an improper and repetitive motion, Peloton requested that Flexport withdraw its Third Motion to Dismiss via an email sent to Flexport’s counsel on April 28, 2025, highlighting that “the Commission’s Rule 502.69(d) is clear that ‘a repetitious motion will not be entertained.’” Peloton further highlighted that “dispositive motions at this stage of the proceeding are also disfavored by the FMC” and that “ALJ Crovella

recently denied a similar motion for these reasons. *Visual Comfort & Co. v. COSCO*, Dkt. No. 24-01 (ALJ Oct. 8, 2024).” *See* Exhibit 3. Flexport did not respond to Peloton’s request or to that email.

For these reasons, and the additional reasons set forth below, the Presiding Officer should deny Flexport’s Third Motion to Dismiss.

III. ARGUMENT

A. FLEXPORT’S THIRD MOTION TO DISMISS VIOLATES RULES AGAINST REPETITIVE MOTIONS AND IS INCONSISTENT WITH THE SCHEDULING ORDER AND PRECEDENT DISFAVORING DISPOSITIVE MOTIONS FILED DURING DISCOVERY.

Flexport’s Third Motion to Dismiss should be denied because it violates the Commission’s express rule against repetitious motion practice, it was filed at this late stage in the proceeding contrary to Commission precedent establishing the Commission’s strong preference for resolving issues on the merits, and is inconsistent with the Scheduling Order, which does not provide for the filing of a dispositive motion so close to the end of discovery. Moreover, Flexport’s Third Motion to Dismiss rehashes the same arguments from its Second Motion to Dismiss that the Presiding Officer has already rejected as “repetitious.” *See* Dkt. 35 at 10, 11.

i. The Third Motion to Dismiss Violates the Commission’s Rules Against Repetitious Motions and the Scheduling Order.

Ignoring the Commission’s strict prohibition on duplicative motion filings and the Presiding Officer’s prior denial of Flexport’s two previous dispositive motions, Flexport improperly seeks a third bite at the apple. Commission Rule 69(d) expressly provides that “a repetitious motion will not be entertained.” 46 C.F.R. § 502.69(d); *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Docket No. 09-01, 2013 WL 9808668, at *5 (FMC Jan. 31, 2013) (citing *Green Master Int’l Freight Servs. Ltd. – Possible Violations of the 1984 Act*, 29 S.R.R. 1319, 1322 (FMC 2003)). The FMC disfavors filing successive motions to dismiss. *See Impact*

Prods., LLC v. CMA CGM S.A., Docket No. 24-07, 2025 WL 511911, at *10 (ALJ Feb. 6, 2025) (rejecting respondent’s filing of second motion to dismiss); *OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*, Docket No. 21-11, 2022 WL 4017209, at *6 (ALJ Aug. 31, 2022) (denying motion to dismiss as repetitive where the motion raised an argument that was previously rejected on a prior motion to dismiss).

The Presiding Officer recently denied a similar dispositive motion filed near the close of discovery in *Visual Comfort & Co. v. COSCO Shipping Lines Co., Ltd.*⁵ In *Visual Comfort*, the respondent brought a dispositive motion less than one month before discovery was scheduled to close, seeking dismissal based on the failure of the claimant to “prosecute its case” by allegedly “withholding documents critical to [the respondent’s] defense.” *Id.* at *2-3. The respondent had filed a previous dispositive motion earlier in the proceeding, which was denied, as well as two motions to compel during discovery. *Id.* at *1. In denying the respondent’s second dispositive motion, the Presiding Officer reasoned that “[a]dministrative law judges have routinely denied scheduling order proposals that request dates to file dispositive motions at the conclusion of a proceeding.” *Id.* at *3. The Presiding Officer further stated that, “[h]ad the parties proposed adding a dispositive motion date to the last few weeks of the amended schedule, it similarly would have been denied as it [is] more efficient at this late date to proceed to briefing the merits.” *Id.* The same result should be reached here.

Indeed, the FMC strongly disfavors and routinely denies dispositive motions filed at or near the close of discovery in favor of resolving the issues through merits briefing. *See Aeneas Exporting LLC v. Honeybee Int’l Inc. and All America Shipping*, Docket No. 22-11, 2022 WL 2399909, at *1 (ALJ June 29, 2022) (ALJ Crovella presiding) (“[D]ispositive motions at the close

⁵ Dkt. No. 24-01, 2024 WL 4491619 (ALJ Oct. 8, 2024) (ALJ Crovella presiding).

of discovery are disfavored as it is more efficient to move to briefing where factual disputes can be resolved.”); *Port Elizabeth Terminal & Warehouse Corp. v. Port Auth. of New York and New Jersey*, Docket No. 17-07, 2018 WL 2683806, at *1 (ALJ May 31, 2018) (same); *see also* 20230930-DK-Butterfly-1, Inc. f/k/a Bed Bath & Beyond Inc. v. Orient Overseas Container Line Ltd., Docket No. 23-02, 2024 WL 5080575, at *4 (ALJ Dec. 6, 2024) (denying respondent’s motion to dismiss as an “extreme” remedy in light of late stage of proceeding where discovery had been completed and merits briefing was set to commence). The Motion is also a waste of valuable judicial resources and unnecessarily delays the resolution of the substantive issues. *See Silver v. Duel*, No. CV 21-9522 PA (KSx), 2022 WL 16859604, at *1 (C.D. Cal. Apr. 13, 2022) (denying motion on ground that repetitive motion to dismiss filings “unnecessarily multiplied the docket entries in this action and taxed the Court’s limited resources by causing the Court to have to review multiple filings” and violated the letter and spirit of the court’s rules).

The Third Motion to Dismiss also violates the Scheduling Order issued by the Presiding Officer, which established a strict timeline for completing discovery and filing briefs on the merits. *See* Dkt. No. 39. All fact and expert discovery is to be completed by May 19, 2025. Peloton’s initial brief, proposed findings of fact, and appendix are due on June 16, 2025. Flexport itself acknowledges in its motion that the parties are “now at the close of discovery and have commenced expert discovery, with briefing soon to follow.” Mot. at 22. The Scheduling Order does not contemplate the filing of additional dispositive motions. Nor did Flexport propose adding a date to file dispositive motions at the end of discovery – a request that would have likely been rejected due to the inefficiencies such a filing would, and has, created. *See supra Visual Comfort*, 2024 WL 4491619, at *3.

ii. Flexport’s Repetitive Arguments About the Sufficiency of the Amended Complaint Are Futile Because the Presiding Officer Has Already Determined That Peloton Sufficiently Pled its Claims.

Flexport’s repetitive arguments that the complaint should be dismissed for lack of sufficient “factual support” and “details” (Mot. at 5) are belied by the Presiding Officer’s prior decisions ruling against Flexport on these same arguments, stating:

Specifically, Peloton asserts that Flexport acted as an NVOCC for the relevant shipments, that Flexport handled both the ocean and inland transportation for relevant shipments, and that Flexport engaged in unreasonable detention and demurrage practices, including that: “Flexport failed to properly perform its inland transportation obligations,” including failure to timely remove, failure to timely deliver, and failure to timely return empty containers; and that Flexport “unreasonably assessed D& charges against Peloton . . . without first undertaking an evaluation as to whether Flexport was responsible for the charges or whether its acts or omissions were a cause or contributing factor to the charges.” Complaint, ¶¶ 5, 10-11, 14-17, 26-27, 49 . . . Peloton has plausibly alleged a violation, particularly given the unfinished state of discovery, and drawing all reasonable inferences in Peloton’s favor.

(Dkt. No. 35 at 5).⁶

Flexport’s disagreement with Peloton’s liability theory and the Administrative Law Judge’s (“ALJ”) Orders denying their prior motions do not justify filing a third dismissal motion before the conclusion of discovery. To the contrary, and as will be fully briefed, discovery (fact witness testimony, expert reports, and documents produced) has indeed shown that Flexport violated the Shipping Act.

Flexport reiterates its disingenuous claim that two-thirds of the invoices listed in Exhibit A are time-barred. *See* Mot. at 5; Dkt. No. 20 at 3. This action was filed in May 2024, and as

⁶ In denying Flexport’s Second Motion, the Presiding Officer held that Flexport failed to meet its burden of showing that no relief could be granted under any set of facts consistent with the allegations. Dkt. No. 35 at 7, 9 (emphasis added), which Flexport again fails to establish—*or even address*—this standard, offering no new basis to support dismissal. Instead, Flexport merely recycles arguments from its prior motions—arguments that have already been considered and rejected. Flexport again asserts that the complaint lacks factual detail and challenges the sufficiency of Exhibit A, despite that exhibit identifying each invoice and amount at issue in this proceeding.

Peloton has stated, Exhibit A shows that Flexport issued approximately **\$28 million** in detention and demurrage charges in or after May 2021 (i.e. within three years of the commencement of this proceeding). Flexport’s contention concerning the timeliness of the disputed invoices was already rejected in the Presiding Officer’s January 29, 2025 Order, which made clear it was not a basis to dismiss the complaint. Dkt. No. 35 at 4 (“the three-year statute of limitations only bars the award of reparations, ***not the filing of a complaint.***”) (emphasis added).

Flexport’s disagreement with Peloton’s liability theory and the Presider Officer’s Orders denying their prior motions do not justify filing a third dismissal motion before the conclusion of discovery. To the contrary, and as will be fully briefed, discovery has indeed shown that Flexport violated the Shipping Act which has been evidenced by testimony of fact witnesses, expert reports, and analysis of the relevant produced documentation.

B. FLEXPORT CANNOT SHOW THAT IT IS ENTITLED TO THE EXTRAORDINARY REMEDY OF DISMISSAL OF PELOTON’S COMPLAINT AS A DISCOVERY SANCTION.

In addition to being procedurally improper and repetitious, Flexport’s Third Motion to Dismiss fails to demonstrate that Flexport is entitled to the relief it seeks: dismissal of the Complaint as a discovery sanction.

i. Flexport Cannot Satisfy Its Heavy Burden of Showing That the Drastic Remedy of Dismissing the Complaint as a Sanction Is Warranted Here.

Flexport’s motion seeks dismissal of Peloton’s Complaint in its entirety as a sanction for Peloton’s alleged failure to comply with discovery. *See* Mot. at 24. However, Flexport does not provide any legal support for its assertions that dismissal as a sanction is remotely warranted, let alone on the facts presented here.⁷ Dismissal of a complaint is a drastic measure that is disfavored

⁷ The ***only case*** that Flexport purports to cite in support of its argument for sanctions, *Martinez v. City of Chicago*, 823 F.3d 1050 (7th Cir. 2016) (Mot. at 4), is not instructive as *Martinez* did not involve dismissal

except in extraordinary circumstances as it undercuts the preference of courts and the Commission to resolve disputes on their merits. *See Tienshan, Inc. v. Tianjin Hua Feng Transp. Agency Co., Ltd.*, Docket No. 08-04, 2011 WL 7144007, at *11 (ALJ Mar. 9, 2011) (dismissal is a “drastic remedy” that “should be imposed only in extreme circumstances”); *CTM Int’l, Inc. v. Medtech Enterprises, Inc.*, Docket No. 98-07, 2000 WL 126786, at *1 (ALJ Jan. 27, 2000) (dismissal of a complaint is an “extreme sanction”). Flexport does not cite, nor address, legal factors that must be shown before dismissal should be entered as a discovery sanction, and therefore the Motion should be denied.

1. Peloton Has Not Violated Any Discovery Orders.

First and foremost, Flexport cannot demonstrate that Peloton has violated any discovery obligation or discovery order. Flexport accuses Peloton of violating the order issued on March 26, 2025 (Dkt. No. 47, the “March 26 Order”) by not serving supplemental interrogatory responses (Mot. 20-21). To the contrary, Peloton did, in fact, serve supplemental responses to Flexport’s interrogatories on April 25, 2025. *See* Exhibit 4 (cover email); Exhibit 5 (interrogatory responses); and Exhibit 6 (Bates log).⁸ The March 26 Order stated that Peloton was “to provide a supplemental response to Respondent’s interrogatories with references to Bates numbers for documents responsive to the interrogatories” (March 26 Order at 2). In addition to supplementing agreed-upon interrogatory responses, Peloton served a Bates log listing Peloton documents responsive to the interrogatories. *See id.* Therefore, there is no basis for this claim.

sanctions, as sought by Flexport here, but instead relates to conduct by government attorneys responding to third-party document subpoenas in a separate malicious prosecution action.

⁸ As of April 25, 2025, Flexport’s production required by the Orders of the Presiding Officer entered on March 26, 2025 and April 22, 2025 was incomplete. It remains incomplete. In supplementing its interrogatory responses, Peloton reserved all rights to further supplement once it receives and has time to analyze complete productions from Flexport.

Second, Flexport claims the March 26 Order required Peloton to “withdraw its objections” to Flexport’s discovery requests, but the March 26 Order does not make reference to any such obligation. Flexport argues that, at the hearing held on March 25, 2025, the Presiding Officer “outright rejected” Peloton’s “boilerplate objections” and “responses to discovery which were ‘subject to’ those objections.” Mot. at 19. But the hearing transcript does not reflect any of those statements. *Cf.* Hearing Tr. at 1:39:42 (with respect to not repeating boilerplate objections, stating “this does go for both parties. *I’m not trying to make this about complainant because . . . both parties have, like, lists of objections.*”) (emphasis added). Moreover, the March 26 Order—issued after the hearing—does not mention objections, let alone removal of objections.

Third, Flexport criticizes corporate deposition testimony that refers to Peloton’s document production as somehow a violation of the March 26 Order. *See* Mot. at 20. The March 26 Order does not contain any directive that deposition witnesses are not permitted to refer to the parties’ document productions in response to questions asked. Nor did the Presiding Officer make such a pronouncement during the March 25 hearing.

Fourth, Flexport takes issue with third-party subpoenas served on one of Flexport’s truckers and an ocean carrier. This argument is moot because neither of those third parties have produced documents in response to the subpoenas. Regardless, there is no order restricting Peloton from issuing subpoenas. There is also no basis for Flexport’s assertions in either the initial order issued by the Presiding Officer on May 13, 2024 (*see* Dkt. No. 4), the original scheduling order issued on November 8, 2024 (*see* Dkt. No. 19), or the two amended scheduling orders that have subsequently been issued (*see* Dkt. Nos. 29, 39). None of the aforementioned orders references third-party subpoenas at all. The March 26 Order likewise did not address or establish limitations on the issuance of third-party subpoenas.

To the contrary, it is Flexport, not Peloton, that has failed to comply with the Presiding Officer’s discovery orders in this case. On the date that Flexport filed this Third Motion to Dismiss, it was required by the March 26 Order to, *inter alia*, “provide the communications between it and contractors such as motor carriers and railroads, as well as marine terminal operators and ocean carriers, regarding the movement of Peloton containers/shipments for which invoices issued beginning in May 2021.” Dkt. No. 47 at 1. To date, Peloton still does not have these materials from Flexport. *See supra* n. 2. This continues to prejudice Peloton because Flexport is the party that possesses this information, as it is undisputed that Peloton did not directly contract or work with motor carriers, ocean carriers, railroads, or marine terminal operators regarding the movement of its containers – Flexport did.

Flexport cannot satisfy its burden of showing that the extraordinary remedy of dismissing the complaint as a sanction is warranted here.

ii. Flexport Fails to Demonstrate That There is Any Other Reason to Sanction Peloton.

1. Flexport Cannot Show That It Has Suffered Any Prejudice as a Result of Peloton’s Alleged Conduct.

Beyond making sweeping and conclusory assertions, Flexport does not demonstrate that it has suffered any actual prejudice because of Peloton’s alleged conduct.⁹ Flexport’s primary claims amount to having to participate in litigation after the Presiding Officer denied its prior attempts to dismiss the complaint, which is not sanctionable conduct. *See* Mot. at 22 (claiming that it “has expended hundreds of thousands of dollars defending what it has always maintained is a frivolous lawsuit” and “has been asking—over and over—for Peloton to identify its claims”); Mot. at 23 (Flexport “has bent over backwards, searching its systems for responsive documents, knowing full

⁹ In fact, Peloton has invested substantial time and effort into its written discovery responses, including the timely supplementation of its interrogatory responses and the three expert reports Peloton served.

well that all of the demurrage and detention charges at issue in the litigation were directly caused by Peloton.”)¹⁰. In denying Flexport’s Second Motion to Dismiss, the Presiding Officer found that “drawing all reasonable inferences in Peloton’s favor,” Peloton “has plausibly alleged a violation” of the Shipping Act based on allegations by Peloton that Flexport acted as an NVOCC for the relevant shipments, ““failed to properly perform its inland transportation obligations,’ including failure to timely remove, failure to timely deliver, and failure to timely return empty containers”; and “unreasonably assessed D&D charges against Peloton . . . without first undertaking an evaluation as to whether Flexport was responsible for the charges or whether its acts or omissions were a cause or contributing factor to the charges.” See Dkt. No. 35 at 5. The fact that Flexport apparently disagrees with the Presiding Officer’s decision does not support Flexport’s claim that it has suffered prejudice by having to engage in the discovery process.

2. Flexport Cannot Demonstrate That the Commission Has Suffered Any Prejudice as a Result of Peloton’s Alleged Conduct.

Likewise, Flexport has not argued nor made no showing of prejudice to the judicial system. At most, Flexport alleges that “Peloton’s counsel has engaged in – and forced Flexport to engage in – needless motion practice and caused countless delays prolonging the discovery process.” Mot. at 4. It is Flexport, not Peloton, that has filed repetitive motions seeking the same relief that are not permitted by the Scheduling Order. Peloton filed one motion to compel on January 14, 2025 after Flexport refused to correct deficiencies in its responses to multiple discovery requests (*see*

¹⁰ Flexport’s sweeping allegation that it “know[s] full well that all of the demurrage and detention charges at issue in the litigation were directly caused by Peloton” (*see* Mot. at 23) (emphasis omitted) is self-serving, untrue, and contradicted by the record. Flexport puts forth no evidence on this point that would support a sanctions award. Flexport’s statement ignores the fact that Peloton has produced tens of thousands of documents in response to Flexport’s requests.

Dkt. No. 32 at 1-2). That is not excessive motion practice. *Compare* Flexport’s Motions (Dkt. Nos. 10, 20, 30, 42, 54, 56).

It is also not the case that Peloton has caused “countless delays prolonging the discovery process.” *See* Mot. at 4. In December 2024, Peloton requested a modest extension of one week to complete document production, which was granted. *See* Dkt. Nos. 23, 26. Peloton requested two subsequent extensions of the scheduling order, which were necessitated due to Flexport’s refusal to supplement its document production (*see* Dkt. Nos. 28, 36, 38), which remains deficient in violation of the March 26 Order.

3. Flexport Cannot Demonstrate That Sanctions Are Warranted As a Punishment.

Finally, Flexport does not make any showing that Peloton engaged in willful or deliberate misconduct, or that sanctions are warranted to punish Peloton’s alleged misconduct or deter future misconduct. Flexport alleges that Peloton and its counsel have committed “deliberate and multiple violations of the ALJ’s [March 26] Order” (Mot. at 19) but there is simply no evidence of that. Peloton *has* complied with its discovery obligations and with the March 26 Order, as set forth in detail in Section II(A)(1) *supra*.

4. Flexport Cannot Demonstrate That Any Other Sanction Is Warranted.

Lastly, Flexport did not seek lesser sanctions than dismissal, but regardless, it has not shown that such lesser sanctions are warranted. The Third Motion to Dismiss explicitly does not seek the production of documents (Mot. at 23-24), and even assuming, *arguendo*, that Peloton were found to have improperly withheld documents—which, for the reasons set forth in this brief, is simply not the case—Flexport’s declaration that “nothing less than dismissal” would serve as an adequate remedy is conclusory and unsupported by any reference to legal authority.

iii. Flexport’s Remaining Arguments Are Red Herrings, Including Its *Ad Hominem* Attacks on Peloton’s Deponents and Its Counsel.¹¹

In what appears to be an attempt to distract from its own violations of the March 26 Order, *supra* at 2, Flexport makes multiple inflammatory and baseless accusations against Peloton’s counsel and witnesses that are not supported by the record.

First, Flexport suggests that Peloton witnesses “were outright lying” during their deposition testimony with no evidence to support such bold and unfounded accusations. Flexport may not like what the witnesses said about Flexport’s unlawful patterns and practices under the Shipping Act, but that is not a basis to personally attack the deponents, let alone a basis to sanction Peloton.

Second, Flexport claims that Peloton withheld documents related to an “audit” (Mot. at 6-11) to investigate Flexport’s violations of the Shipping Act, including as part of amending the Complaint to include Exhibit A. Flexport appears to take issue with the fact that counsel assisted in the process of amending the complaint after the proceeding had commenced, which would be expected in litigation and is not a basis for sanctions. Flexport also criticizes the format of Exhibit A because although it included the specific “FLEX-ID” identifying each challenged invoice (i.e. the specific identifier Flexport assigned to the invoice), among other reasons, it did not include the date of the invoice. *See* Mot. at 5. Flexport is the party that issued the invoices listed on Exhibit A, including determining the date they would be sent and setting the amount of (improperly charged) detention and demurrage. It is unclear why Flexport needs more information from Peloton as to its own invoicing practices and decisions, but regardless, the Presiding Officer did not deem Exhibit A insufficient when it denied the Second Motion to Dismiss. *See supra* at 3.

¹¹ In addition to disagreement with the purported bases for sanctions, Peloton also disagrees with the inflammatory tone and unfounded accusations in Flexport’s Motion, particularly the discovery accusations and the attacks on Peloton’s deponents and its counsel. Since these characterizations are baseless and not materially relevant to the relief Flexport is seeking, we briefly address them below but note that they are disputed in their entirety.

Flexport also insinuates that documents related to the audit were improperly withheld as privileged because some of the Peloton witnesses, who are not in the legal department and had different roles and levels of seniority at the company, did not give identical testimony in identifying exactly when Peloton began working with Holland & Knight (outside counsel in this matter). Mot. at 10.¹² Flexport also ignores that Peloton has an in-house counsel team. Indeed, in citing to the audit document on the privilege log to claim information is being improperly withheld (Mot. at 7), Flexport selectively omitted that this document is an attachment to an email sent to Perri Michael, former in-house attorney for Peloton (portion omitted highlighted below):

12	FPFMC_CP002_000131300	Perri Michael <perri.michael@onepeloton.com>	Angad Gadhok <angad.gadhok@onepeloton.com>	David Baitman <david.baitman@onepeloton.com>; Bharat Nair <bharat.nair@onepeloton.com>	Privileged Withhold	Attorney Client
13	FPFMC_CP002_000131301				Privileged Withhold	Attorney Client

On March 26, 2025, a month before this Third Motion to Dismiss was filed, Flexport asked questions about this log entry in the deposition of Peloton’s Corporate Witness, who confirmed that that Perri Michael was in-house counsel and that the audit sheet was done in coordination with counsel. *See, e.g.*, Peloton 143(b)(6) Dep. 61:8-12 (“Q. Okay. What were the names of counsel? A. At the time, Perri Michael. Q. In-house internal counsel at Peloton or external counsel? A. This is internal.”); Peloton 143(b)(6) Dep., Ex. 3, at 120:16 (“A. The audit sheet was done in coordination with counsel.”).¹³ Flexport’s attempts to re-characterize as somehow nefarious the

¹² Contrary to Flexport’s witness coaching allegations addressed below, the fact that the witnesses had different recollections as to the precise timeline discredits Flexport’s allegations of improper coordination.

¹³ None of the testimony that Flexport cites from Martina Majstorovic’s corporate representative deposition presents any inconsistencies regarding the involvement of Peloton’s counsel in the audit process. For instance, it was not inconsistent for Ms. Majstorovic to testify that the audit was conducted after consulting with counsel and in coordination with counsel, or that a more extensive audit was performed after consulting with outside counsel. *See* Mot. at 9-10. None of these events to which Ms. Majstorovic testified are mutually preclusive of one another.

recollections of fact witnesses of different position levels being asked questions about events from several years ago does not change this result.¹⁴

Moreover, Flexport has not demonstrated how conducting an audit with counsel (either in-house or outside counsel) to determine whether Flexport violated applicable laws is discoverable or would affect whether Flexport is indeed liable to Peloton -- it does not go to the “very heart of the case” as Flexport claims. *See* Mot. at 7. Flexport’s own Motion concedes that Flexport’s work for Peloton as an NVOCC stopped in 2022, and that the subject audit did not occur until sometime in 2023 or later. *See* Mot. at 21 (“Flexport had not provided any services to Peloton within the jurisdiction of the Commission since mid-2022 and the parties no longer do business.”); Mot. at 6 (“an audit of each Flexport invoice at issue in this case was undertaken by Peloton beginning in mid-2023”). Whether or not Flexport is liable to Peloton depends on, *inter alia*, the reasons and factual bases for which Flexport chose to improperly charge Peloton detention and demurrage, which is unaffected by Peloton’s own internal analysis with counsel in hindsight.

Contrary to black letter law, Flexport argues that if the audit is privileged or work product, it should nonetheless have been produced to Flexport and as a result, the Complaint should be dismissed as a sanction. Mot. at 18. Flexport does not cite any legal basis for this sweeping proposition, other than reference to the sword and shield doctrine, which is not applicable here. Among other reasons and discussed above, whether or not Flexport is liable to Peloton depends on the *factual basis Flexport chose to improperly charge Peloton detention and demurrage*, not Peloton’s legal analysis years after the fact, including the creation of Exhibit A to support the

¹⁴ For example, Flexport mischaracterizes David Baitman’s testimony regarding Peloton’s discussions with its counsel that took place after its discussions with Flexport in January or February 2024 regarding the audit. *See* Mot. at 8-9. Mr. Baitman’s testimony was in reference to discussions about filing an FMC complaint against Flexport—it was not an indication of when Peloton’s counsel initially became involved in the audit process. This is reflected in the deposition testimony that Flexport itself cites in its motion. *See* Mot. at 8-9 (citing Dep. Baitman, Ex. 2 at 272:10-273:1).

amended complaint. Moreover, Flexport is the party in control of information as to why detention and demurrage charges were issued because Peloton did not directly contract or work with motor carriers, ocean carriers, railroads, or marine terminal operators regarding the movement of its containers – that was Flexport’s responsibility.

None of the cases cited by Flexport even discuss dismissal as a sanction, let alone show that the sword and shield doctrine is applicable here. *See Allstate Ins. Co. v. Levesque*, 263 F.R.D. 663 (M.D. Fla. 2010) (citing *GAB Bus. Servs., Inc. v. Syndicate*, 627, 809 F.2d 755, 762 (11th Cir. 1987)) (sword and shield doctrine did not apply where, like here, relevant inquiry is the facts that existed at the time of the challenged conduct); *In re Application of Chevron Corp. v. 3TM Consulting, LLC*. No. MC H–10–134, 2011 WL 13135155, at *3 (S.D. Tex. Jan. 10, 2011) (discussing sword and shield doctrine in context of expert reports, which is not an issue raised in the Third Motion to Dismiss); *Conkling v. Turner*, 883 F.2d 431, 434 (5th Cir. 1989) (reasoning sword and shield doctrine should not apply where, like here, defendants can obtain information relevant to their defense “without doing violence to carefully crafted rules protecting the attorney-client privilege and attorney work effort.”). This argument is simply meant to distract from Flexport’s own discovery failures.

Lastly, Flexport’s other accusations about “improper coaching” of Peloton’s witnesses to “conceal clearly relevant information and documentation” are similarly baseless. *See* Mot. at 11. Flexport’s attacks on Peloton’s corporate witness (Ms. Majstorovic) are illogical because witness preparation is necessarily involved in preparing any corporate witness for testimony on behalf of a company. Flexport fails to demonstrate or explain why the testimony amounted to improper coaching. Flexport concludes, with no support, that, based on this testimony, “[i]t is abundantly clear from the deposition that Peloton’s corporate representative was improperly coached.” Mot.

at 15. However, Flexport also fails to provide a specific explanation as to how Ms. Majstorovic's responses demonstrate witness coaching. Mere citation to excerpts of deposition testimony and broad proclamations that these excerpts are evidence of improper coaching, as Flexport relies on here, are insufficient to support such claims. *See Tubbs v. Venettozzi*, No. 9:19-CV-0126 (LEK/DJS), 2022 WL 4545542, at *4 (N.D.N.Y. Sept. 29, 2022) (party's citation to several pages of hearing transcript was insufficient to support claim of witness coaching where party failed to provide "meaningful explanation" as to how testimony demonstrated coaching).

The other examples that Flexport identifies are also not evidence of improper coaching. Flexport points to the testimony of one Peloton witness, Angad Gadhok, stating that he was unable to recall specifics of the events from several years ago as evidence that Mr. Gadhok was coached. Mot. at 17. Flexport also points to the fact that another Peloton witness, Mr. Beyar, was shown documents by counsel in preparation for his deposition as evidence that he was improperly coached. *Id.* Neither a witness's inability to recall a subject matter nor showing a witness documents to prepare them for a deposition is unusual or improper, and Flexport offers no relevant explanation as to why these exemplify "improper coaching." Flexport's accusations that counsel improperly coached Peloton's witnesses are conclusory and unfounded.

IV. THE SUPPLEMENTAL AUTHORITY PROVIDED BY FLEXPORT SHOULD BE DISREGARDED BECAUSE IT WAS FILED LATE AND IS NOT RELEVANT TO THE INSTANT MOTION.

Flexport's notice of supplemental authority filed on April 30, 2025 ("Notice"), should be disregarded. *See* Dkt. No. 55. Flexport filed the Notice late, five days after filing its motion, despite the fact that the cases cited were available as of April 25, 2025, the date Flexport filed its Third Motion to Dismiss. The Notice does not contain any explanation as to why it delayed in submitting these authorities or why the Presiding Officer should accept its late filing.

More significantly, Flexport neither explains why it supplemented with the authorities it cites in its Notice, what they purport to represent, nor how they are relevant to the motion. None of the cases cited by Flexport discuss dismissal sanctions, the remedy that Flexport's motion seeks.¹⁵ Moreover, the decision in *Samsung Electronics America, Inc. v. ZIM Integrated Shipping Services Ltd.* to which Flexport cites is still pending review with exceptions due May 14, 2015 and will then be inoperable per 46 C.F.R. § 502.227(5). For these reasons, the Presiding Officer should not consider these supplemental authorities cited by Flexport.

V. PELOTON IS ENTITLED TO RECOVER ITS ATTORNEY FEES ASSOCIATED WITH RESPONDING TO FLEXPORT'S REPETITIOUS MOTION.

Peloton respectfully requests that it be awarded the attorney fees and costs incurred in connection with responding to the Third Motion to Dismiss. The "primary consideration in determining entitlement to attorney fees is whether such an award is consistent with the purposes of the Shipping Act, and any factors the Commission relies upon in individual cases should be consistent with these purposes." *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC*, Docket No. 14-04, 2016 WL 5110081, at *5 (FMC Sept. 14, 2016). Factors that the Commission considers in determining whether an award of attorney fees is appropriate include "frivolousness, objective unreasonableness (in the factual and in the legal components of a case), motivation, and the requirement in certain circumstances to promote considerations of deterrence and compensation." *Id.* (quoting *Fogerty v. Fantasy, Inc.*, 510 U.S. 517, 534 n.19 (1994)).

Here, Flexport brought a third dispositive motion that makes arguments already raised and rejected. This violates the Commission's express rule against the filing of repetitious motions and mere weeks before discovery is set to conclude and merits briefing is set to commence. *See supra*

¹⁵ Peloton also notes that Flexport's Notice attached the incorrect decision with respect to *TZ SSE Buyer, LLC v. Yang Ming Marine Transport Corp.*, FMC Docket No. 24-10 (March 24, 2025, with Notice not to Review dated April 24, 2025).

at 1. In order to avoid the time and resources required to respond to this motion and the judicial resources required to consider it, Peloton emailed Flexport requesting that it voluntarily withdraw the Third Motion to Dismiss, highlighting the applicable Commission precedent and procedure (Exhibit 3). Flexport did not voluntarily withdraw the motion and never responded to that email.

VI. CONCLUSION

For the foregoing reasons, Peloton respectfully requests that Flexport's Motion to Dismiss and for Sanctions (Dkt. 54) be denied and that Peloton be awarded the fees and costs it incurred in opposing the Motion and such other relief that the ALJ deems just and proper.

Dated: May 12, 2025

Respectfully Submitted,

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CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

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